

some professional advice might help?

The Belfer family was well-connected in the New York art, philanthropy, and financial worlds, and had been very generous to Jewish causes. It was inevitable that they would eventually be introduced to Bernie Madoff.

Following Enron, the Belfers placed their trust in a highly regarded market professional. Whatever due diligence the family did into Bernie Madoff was obviously incomplete, as there were plenty of warning signs that he was not what he appeared to be.

A 2001 article in *Barron's* discussed the excessive penchant for secrecy.²⁵³ Others had looked into Madoff's operation and steered clear. The returns were too consistently good, with zero volatility and no drawdowns. The conclusion was Madoff was either trading on inside information, front-running other clients, or engaging in fraud.

Harry Markopolos was a quant at a derivatives trading shop in Boston. His boss asked him to replicate Madoff's returns. Markopolos said: "It took me five minutes to know that it was a fraud. It took me another four hours of mathematical modeling to *prove* that it was a fraud."²⁵⁴ Others had reached similar conclusions.

Madoff's claimed strategy was to own blue-chip stocks and buy an option collar ("split-strike conversion") on them. He wasn't actually doing that, just saying it. His entire operation had been a Ponzi scheme since at least 1993, perhaps even longer. But options collars are a well-known hedging strategy, a derivative that protects against loss costing a few percent a year—like fire insurance on your home. Ironically, had the Belfers had an options collar on their Enron stock, they would have avoided that \$2 billion disaster.

Maybe this is why the Belfers thought of Madoff as a better alternative than trying to manage their holdings themselves. One could imagine them